IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.305

CA(CAA)/6(AHM)2023

Order under Sections 230-232 of Co. Act, 2013

IN THE MATTER OF:

Ram ji Developers Private Limited **.....Applicants**
Endeavour Developers Private Limited
Subh Dwelling Private Limited
Lily Enterprises Private Limited
Tina Marketing Private Limited

Order delivered on 20/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD- **-SD-**

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL

AHMEDABAD BENCH

(COURT NO. II)

CA (CAA) 6/AHM/2023

IN THE MATTER OF THE COMPANIES ACT, 2013

[Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the matter of Scheme of Amalgamation

OF

Ram Ji Developers Private Limited
(Applicant Company No. 1/Transferor Company No.1)

and

Endeavour Developers Private Limited
(Applicant Company No. 2/Transferor Company No.2)

and

Exclusive Dwelling Private Limited
(Applicant Company No. 3/Transferor Company No.3)

and

Subh Dwelling Private Limited
(Applicant Company No. 4/Transferor Company No.4)

and

Lily Enterprises Private Limited
(Applicant Company No. 5/Transferor Company No.5)

WITH

Tina Marketing Private Limited
(Applicant Company No. 6/Transferee Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on: 20.07.2023

Coram:

SHRI SHAMMI KHAN,
HON'BLE MEMBER (JUDICIAL)

SHRI AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

Ram Ji Developers Private Limited
(CIN: U45201GJ2005PTC097102)
Registered office at
183, Manekbaug Society, Lane No. 15,
Ambawadi, Ahmedabad – 380 015

.. Applicant Company No.1/
Transferor Company No.1

Endeavour Developers Private Limited
(CIN: U74899GJ2006PTC097279)
Registered office at
183, Manekbaug Society, Lane No. 15,
Ambawadi, Ahmedabad – 380 015

.. Applicant Company No.2/
Transferor Company No.2

Exclusive Dwelling Private Limited
(CIN: U74899GJ2006PTC097281)
Registered office at
183, Manekbaug Society, Lane No. 15,
Ambawadi, Ahmedabad – 380 015

.. Applicant Company No.3/
Transferor Company No.3

Subh Dwelling Private Limited
(CIN: U45200GJ2006PTC048099)
Registered office at
183, Manekbaug Society, Lane No. 15,
Ambawadi, Ahmedabad – 380 015

.. Applicant Company No.4/
Transferor Company No.4

Lily Enterprises Private Limited
(CIN: U51100GJ1985PTC008217)
Registered office at
183, Manekbaug Society, Lane No. 15,
Ambawadi, Ahmedabad – 380 015

.. Applicant Company No.5/
Transferor Company No.5

Tina Marketing Private Limited

(CIN: U51100GJ1989PTC012470)
Registered office at 183,
Manekbaug Society, Lane no 15,
Ambawadi, Ahmedabad–380 015

..Applicant Company No. 6/
(Transferee Company)

For the Applicants: Mr. Ashish Shah, PCS

O R D E R

1. The present joint application is filed under Section 230-232 with other applicable provisions of the Companies Act, 2013(hereinafter referred to as "**the Act**") read with the Companies (Compromise, Arrangement and Amalgamations) Rules, 2016 for sanctioning the proposed Scheme of Amalgamation (hereinafter referred to as "the Scheme") of the Amalgamation of **Ram Ji Developers Private Limited, Endeavour Developers Private Limited, Exclusive Dwelling Private Limited, Subh Dwelling Private Limited, Lily Enterprises Private Limited** (Applicant Transferor Companies) with **Tina Marketing Private Limited** (Applicant Transferee Company) and their respective Shareholders and Creditors with effect from the Appointed Date i.e. 01st April, 2022, as per features set out

in the Scheme annexed with the application in accordance with Section 230 to 232 of the Companies Act, 2013.

2. It is submitted that the registered office of all the applicant companies are situated within the territorial jurisdiction of the Registrar of Companies, Ahmedabad, Gujarat, which are falling under the jurisdiction of this Tribunal.

3. It is submitted that the Transferee Company having CIN U51100GJ1989PTC012470 is incorporated on 7th July 1989 under the provisions of the Companies Act, 1956 with the ROC, Gujarat with the name "TINA MARKETING PRIVATE LIMITED" and the certificate of incorporation is annexed with the application. The registered office is situated at 183, Manekbaug Society, Lane no 15, Ambawadi, Ahmedabad Gujarat 380015 India. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital asof 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	**AMOUNT IN RS.**
10,000 equity shares of INR 100 each	10,00,000
Total	**10,00,000**

ISSUED, SUBSCRIBED AND PAID UP SHARE CAPITAL	**AMOUNT IN RS.**
2,100 equity shares of INR 100 each	2,10,000
Total	**2,10,000**

4. It is submitted that the Transferor Company No.1 having CIN U45201GJ2005PTC097102 is incorporated on 29th

December 2005 under the provisions of the Companies Act, 1956 with theROC, Gujarat with the name "RAM JI DEVELOPERS PRIVATE LIMITED" and the certificate of incorporation is annexed with the application. The registered office is situatedat 183, Manekbaug Society, Lane no 15, Ambawadi, Ahmedabad Gujarat 380015 India. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as of 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	**AMOUNT IN RS.**
3,70,000 equity shares of INR 10 each	37,00,000
Total	**37,00,000**

ISSUED, SUBSCRIBED AND PAID UP SHARE CAPITAL	**AMOUNT IN RS.**
3,70,000 equity shares of INR 10 each	37,00,000
Total	**37,00,000**

5. It is submitted that the Transferor Company No. 2 having CIN U74899GJ2006PTC097279 is incorporated on 12th January 2006 under the provisions of the Companies Act, 1956 with the ROC, Gujarat with the name "ENDEAVOUR DEVELOPERS PRIVATE LIMITED" and the certificate of incorporation is annexed with the application. The registered office is situated at 183, Manekbaug Society, Lane no 15, Ambawadi, Ahmedabad Gujarat 380015 India. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as of 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	AMOUNT IN RS.
1,20,000 equity shares of INR 10 each	12,00,000
Total	**12,00,000**

ISSUED, SUBSCRIBED AND PAID UP SHARE CAPITAL	AMOUNT IN RS.
1,18,000 equity shares of INR 10 each	11,80,000
Total	**11,80,000**

6. It is submitted that the Transferor Company No. 3 having CIN U74899GJ2006PTC097281 is incorporated on 12th January 2006 under the provisions of the Companies Act, 1956 with the ROC, Gujarat with the name "EXCLUSIVE DWELLIING PRIVATE LIMITED" and the certificate of incorporation is annexed with the application. The registered office is situated at 183, Manekbaug Society, Lane no 15, Ambawadi, Ahmedabad Gujarat 380015 India. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as of 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	AMOUNT IN RS.
10,000 equity shares of INR 10 each	1,00,000
Total	**1,00,000**

ISSUED, SUBSCRIBED AND PAID UP SHARE CAPITAL	AMOUNT IN RS.

10,000 equity shares of INR 10 each	1,00,000
Total	**1,00,000**

7. It is submitted that the Transferor Company-4 having CIN U45200GJ2006PTC48099 is incorporated on 6th April 2006 under the provisions of the Companies Act, 1956 with the ROC, Gujarat with the name "SUBH DWELLING PRIVATE LIMITED" and the certificate of incorporation is annexed with the application. The registered office is situatedat 183, Manekbaug Society, Lane no 15, Ambawadi, Ahmedabad Gujarat 380015 India. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as of 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	**AMOUNT IN RS.**
10,000 equity shares of INR 10 each	1,00,000
Total	**1,00,000**

ISSUED, SUBSCRIBED AND PAID UP SHARE CAPITAL	**AMOUNT IN RS.**
10,000 equity shares of INR 10 each	1,00,000
Total	**1,00,000**

8. It is submitted that the Transferor Company-5 having CIN U51100GJ1985PTC008217 is incorporated on 25th October 1985 under the provisions of the Companies Act, 1956 with theROC, Gujarat with the name "LILY ENTERPRISES PRIVATE LIMITED" and the certificate of incorporation is annexed with the application. The

registered office is situatedat 183, Manekbaug Society, Lane no 15, Ambawadi, Ahmedabad Gujarat 380015 India. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as of 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	**AMOUNT IN RS.**
20,000 equity shares of INR 100 each	20,00,000
10,000, 9% cumulative redeemable preference shares of Rs. 100 each	10,00,000
Total	**30,00,000**

ISSUED, SUBSCRIBED AND PAID UP SHARE CAPITAL	**AMOUNT IN RS.**
7,020 equity shares of INR 100 each	7,02,000
Total	**7,02,000**

9. The Applicant Companies are empowered by their respective Memoranda and Articles of Association to enter into the Scheme of Amalgamation. Copies of the Memoranda and Articles of Association of all the Applicant Companies are annexed with the application. The copies of Audited Financial statements of all the Applicant Companies as of 31.03.2022 are annexed with the application.

10. Rationale of the Scheme:

With the intent of consolidating the business operation undertaken by the Transferor Companies and the Transferee Company, the Board of Directors of the said Companies now propose, by way of this Scheme to Amalgamate Transferor Companies with the Transferee Company in accordance with the provisions of the Companies Act, 2013. The amalgamation of the Transferor Companies with the Transferee Company would inter-alia have the following benefits:-

(i) The amalgamation will result in reduction in overheads, administrative, managerial and other expenditure, and optimal utilization of various resources due to consolidation of activities.

(ii) Greater efficiency in cash management of the Transferee entity, and access to cash flow generated by the combined business.

(iii) The Scheme shall be beneficial and in the best interests of the shareholders and creditors of the Transferor Companies and the Transferee Company and all concerned.

(iv) Diversification in the Business vertical of the Transferee Company.

(v) Benefit of higher marginal growth of all the stakeholders of the Transferor Companies as well as Transferee Company.

(vi) The Transferee Company will have benefit of the combined assets and resources of the Transferor Companies. The combined resources will enhance its capability to expand and increase its market share more effectively.

(vii) The proposed amalgamation will create enhanced value for shareholders and allow a focused strategy in operations, which would be in the best interest of all its shareholders, creditors and all persons connected with the companies.

11. The Board of Directors of all the Applicant Companies have approved the Scheme at their respective Board Meetings held on 5th November, 2022. Copies of the respective Board Resolutions passed on 5th November, 2022 of all the respective Applicant Companies are placed on record.

12. The Applicant Companies have filed the certificates from the respective Independent Auditors confirming the proposed Accounting Treatment being in conformity with the applicable Accounting Standard under Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies (Accounts) Rules, 2014.

13. It is submitted that no investigation or proceedings and no winding up application under the Companies Act, 1956/2013 are instituted or are pending against any of applicant companies.

14. All the Applicant Companies have placed on record their Valuation Reports prepared by Registered valuer Mr. Shah Darshil Rajeshbhai Chartered Accountants (IBBI registration Number-IBBI/RV/06/2019/11593).

15. It is further submitted that all the Applicant Companies are not listed companies, hence approval of SEBI, is not required. It is further submitted that the provisions of RBI and the Competition Act, 2002 are not applicable to the present Scheme and no notice is required to be issued to the said authority.

16. With respect to the Transferee Company, it is stated that:-

a. There are 2 (Two) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. Both equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders;

b. There are no Secured Creditors and a certificate from the Chartered Accountant certifying the NIL secured creditors is annexed with the application. Therefore, meeting of Secured Creditors is not required to be convened.

c. There are 9 (Nine) Unsecured Creditors and a certificate from a Chartered Accountant certifying the list of Unsecured creditors is annexed with the application. All the Unsecured Secured Creditors have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Unsecured Secured Creditors.

17. With respect to the Transferor Company No. 1, it is stated that:-

a. There are 3 (Three) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. All the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders;

b. There are no Secured Creditors and a certificate from the Chartered Accountant certifying the NIL secured creditors is annexed with the application. Therefore, meeting of Secured Creditors is not required to be convened.

c. There are no Unsecured Creditors and a certificate from a Chartered Accountant certifying the NIL Unsecured creditors is annexed with the application. Therefore, meeting of Unsecured Creditors is not required to be convened.

18. With respect to the Transferor Company No.-2, it is stated that:-

a. There are 2 (Two) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. All the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders;

b. There are no Secured Creditors and a certificate from the Chartered Accountant certifying the NIL secured creditors is annexed with the application. Therefore, meeting of Secured Creditors is not required to be convened.

c. There are 3 (Three) Unsecured Creditors and a certificate from a Chartered Accountant certifying the List Unsecured creditors is annexed with the application. All the Unsecured Secured Creditors have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Unsecured Secured Creditors.

19. With respect to the Transferor Company No. 3, it is stated that:-

    a. There are 2 (Two) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. All the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders;

    b. There are no Secured Creditors and a certificate from the Chartered Accountant certifying the NIL secured creditors is annexed with the application. Therefore, meeting of Secured Creditors is not required to be convened.

    c. There are no Unsecured Creditors and a certificate from a Chartered Accountant certifying the NIL Unsecured creditors is annexed with the application. Therefore, meeting of Unsecured Creditors is not required to be convened.

20. With respect to the Transferor Company No. 4, it is stated that:-

    a. There are 2 (Two) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. Both the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders;

    b. There are no Secured Creditors and a certificate from the Chartered Accountant certifying the NIL secured creditors is annexed with the application. Therefore, meeting of Secured Creditors is not required to be convened.

c. There are no Unsecured Creditors and a certificate from a Chartered Accountant certifying the NIL Unsecured creditors is annexed with the application. Therefore, meeting of Unsecured Creditors is not required to be convened.

21. With respect to the Transferor Company No. 5, it is stated that:-

a. There are 2 (Two) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. Both the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders;

b. There are no Secured Creditors and a certificate from the Chartered Accountant certifying the NIL secured creditors is annexed with the application. Therefore, meeting of Secured Creditors is not required to be convened.

c. There are 6 (Six) Unsecured Creditors and a certificate from a Chartered Accountant certifying the List Unsecured creditors is annexed with the application. All the Unsecured Secured Creditors have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Unsecured Secured Creditors.

22. In Compliance of the order dated 05.06.2023, the applicant companies filed the documents on 09.06.2023 as per the clarification sought by the bench.

23. Taking into consideration the submissions and documents filed therewith, we issue the following directions with respect to convening or dispensing the meeting of Equity Shareholders, Secured/Unsecured Creditors:

(i) In relation to the Transferee Company

a) With respect to Equity Shareholders:

Convening of the meeting of equity shareholders of the Company is hereby dispensed with, in view of 100% consent affidavits received from shareholders.

b) With respect to Secured Creditors:

Convening of the meeting of Secured Creditors of the Company is not required as Company has Nil Secured Creditors.

c) With respect to Unsecured Creditors:

Convening of the meeting of Unsecured Creditors of the Company is hereby dispensed with, in view of 100% consent affidavits received from Unsecured Creditors.

(ii) In relation to All the Transferor Companies:

a) With respect to Equity Shareholders of All Transferor Companies:

Convening of the meeting of equity shareholders of all the Transferor Companies is hereby dispensed with, in view of 100% consent affidavits received from shareholders of respective Transferor Companies.

b) With respect to Secured Creditors:

Convening of the meeting of Secured Creditors of the all Transferor Companies is not required in view of NIL Secured Creditors.

c) With respect to Unsecured Creditors:

For Transferor Company 1, 3 and 4:

Convening of the meeting of Unsecured Creditors of the above mentioned Transferor Companies is not required in view of NIL Unsecured Creditors.

For Transferor Company 2 and 5:

Convening of the meeting of Unsecured Creditors of the above mentioned Transferor Companies are hereby dispensed with, in view of 100% consent affidavits received from Unsecured Creditors.

24. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, and (iii) Official Liquidator (in respect of Applicant Transferor Company) and (iv) to the Income Tax Department along with full details of assessing officer and PAN numbers of all the Applicant Companies with a copy also to the office of Principal Chief Commissioner of Income Tax and to such other Sectoral Regulatory Authorities who may govern the working of the respective companies involved in the Scheme, and representation, if any, to be made by them shall be

made within 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by an email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed amalgamation

25. The Application is allowed and disposed of in terms of the above directions.

-SD-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-
SHAMMI KHAN
MEMBER (JUDICIAL)

Mehul Steno/Abhishek LRA